

**HOUSE SUBSTITUTE FOR
SENATE BILL NO. 723**

A bill to amend 1996 PA 381, entitled
"Brownfield redevelopment financing act,"
by amending sections 2, 13c, 14a, and 16 (MCL 125.2652, 125.2663c,
125.2664a, and 125.2666), as amended by 2023 PA 90, and by adding
sections 16a and 16b.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 2. As used in this act:

2 (a) "Authority" means a brownfield redevelopment authority
3 created under this act.

4 (b) "Baseline environmental assessment" means that term as
5 defined in part 201 or 213.

6 (c) "Blighted" means property that meets any of the following
7 criteria as determined by the governing body:



1 (i) Has been declared a public nuisance in accordance with a
2 local housing, building, plumbing, fire, or other related code or
3 ordinance.

4 (ii) Is an attractive nuisance to children because of physical
5 condition, use, or occupancy.

6 (iii) Is a fire hazard or is otherwise dangerous to the safety
7 of persons or property.

8 (iv) Has had the utilities, plumbing, heating, or sewerage
9 permanently disconnected, destroyed, removed, or rendered
10 ineffective so that the property is unfit for its intended use.

11 (v) Is previously developed or tax reverted property owned by
12 a municipality or by this state. The sale, lease, or transfer of
13 previously developed or tax reverted property by a municipality or
14 this state after the property's inclusion in a brownfield plan does
15 not result in the loss to the property of the status as blighted
16 property for purposes of this act.

17 (vi) Is property owned by or under the control of a land bank
18 fast track authority, whether or not located within a qualified
19 local governmental unit. Property included within a brownfield plan
20 before the date it meets the requirements of this subdivision to be
21 eligible property is considered to become eligible property as of
22 the date the property is determined to have been or becomes
23 qualified as, or is combined with, other eligible property. The
24 sale, lease, or transfer of the property by a land bank fast track
25 authority after the property's inclusion in a brownfield plan does
26 not result in the loss to the property of the status as blighted
27 property for purposes of this act.

28 (vii) Has substantial buried subsurface demolition debris
29 present so that the property is unfit for its intended use.



1 (d) "Board" means the board that supervises and controls an
2 authority under section 5.

3 (e) "Brownfield plan" means a plan that meets the requirements
4 of sections 13 and 13b and is adopted under section 14.

5 (f) "Captured taxable value" means the amount in 1 year by
6 which the current taxable value of an eligible property subject to
7 a brownfield plan, including the taxable value or assessed value,
8 as appropriate, of the property for which specific taxes are paid
9 in lieu of property taxes, exceeds the initial taxable value of
10 that eligible property. The state tax commission shall prescribe
11 the method for calculating captured taxable value.

12 (g) "Chief executive officer" means the mayor of a city, the
13 village manager of a village, the township supervisor of a
14 township, or the county executive of a county or, if the county
15 does not have an elected county executive, the chairperson of the
16 county board of commissioners.

17 (h) "Combined brownfield plan" means a brownfield plan that
18 also includes the information necessary to submit the plan to the
19 department, Michigan state housing development authority, or
20 Michigan strategic fund under section 15(20).

21 (i) "Construction period tax capture revenues" means funds
22 equal to the amount of income tax levied and imposed in a calendar
23 year on wages paid to individuals physically present and working
24 within the eligible property for the construction, renovation, or
25 other improvement of eligible property that is an eligible activity
26 within a transformational brownfield plan. As used in this
27 subdivision, "wages" means that term as defined in section 3401 of
28 the internal revenue code of 1986, 26 USC 3401. To calculate the
29 amount of construction period tax capture revenues for a calendar



1 year under a transformational brownfield plan, the state treasurer
2 shall do all of the following:

3 (i) Require the owner or developer of the eligible property to
4 report the total taxable wages paid to individuals for the
5 construction, renovation, or other improvement of eligible property
6 that is an eligible activity within the transformational brownfield
7 plan. The wages reported under this subparagraph must exclude any
8 wages paid to employees of the owner or developer.

9 (ii) Multiply the amount under subparagraph (i) by the effective
10 rate as determined by the state treasurer at which the income tax
11 is levied on an individual in this state. The state treasurer shall
12 estimate the effective rate by taking into account the effect of
13 any exemptions, additions, subtractions, and credits allowable
14 under part 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1
15 to 206.532. The state treasurer may require the owner or developer
16 to submit any information necessary for the calculation under this
17 subparagraph.

18 (iii) The wage information and other information required under
19 this subdivision must be provided to the department of treasury by
20 the owner or developer in a manner prescribed by the state
21 treasurer. The state treasurer may require the owner or developer
22 to provide a review or reconciliation of the wages by an
23 independent auditing firm.

24 (j) "Corrective action" means that term as defined in part 111
25 or part 213.

26 (k) "Department" means the department of environment, Great
27 Lakes, and energy.

28 (l) "Department specific activities" means baseline
29 environmental assessments, due care activities, response



1 activities, and other environmentally related actions that are
2 eligible activities and are identified as a part of a brownfield
3 plan that are in addition to the minimum due care activities
4 required by part 201, including, but not limited to:

5 (i) Response activities that are more protective of the public
6 health, safety, and welfare and the environment than required by
7 section 20107a, 20114, or 21304c of the natural resources and
8 environmental protection act, 1994 PA 451, MCL 324.20107a,
9 324.20114, and 324.21304c.

10 (ii) Removal and closure of underground storage tanks pursuant
11 to part 211 or 213.

12 (iii) Disposal of solid waste, as defined in part 115 of the
13 natural resources and environmental protection act, 1994 PA 451,
14 MCL 324.11501 to 324.11587, from the eligible property, if the
15 solid waste was not generated or accumulated by the authority or
16 the developer.

17 (iv) Dust control related to construction activities.

18 (v) Removal and disposal of lake or river sediments exceeding
19 part 201 criteria from, at, or related to an economic development
20 project if the upland property is either a facility or would become
21 a facility as a result of the deposition of dredged spoils.

22 (vi) Industrial cleaning.

23 (vii) Sheet piling and shoring necessary for the removal of
24 materials exceeding part 201 criteria at projects requiring a
25 permit pursuant to part 301, 303, or 325 of the natural resources
26 and environmental protection act, 1994 PA 451, MCL 324.30101 to
27 324.30113, 324.30301 to 324.30328, and 324.32501 to 324.32515a.

28 (viii) Lead, mold, or asbestos abatement when lead, mold, or
29 asbestos pose an imminent and significant threat to human health.



1 (ix) Environmental insurance.

2 (m) "Due care activities" means those response activities
3 identified as part of a brownfield plan that are necessary to allow
4 the owner or operator of an eligible property in the plan to comply
5 with the requirements of section 20107a or 21304c of the natural
6 resources and environmental protection act, 1994 PA 451, MCL
7 324.20107a and 324.21304c.

8 (n) "Economic opportunity zone" means 1 or more parcels of
9 property that meet all of the following:

10 (i) That together are 40 or more acres in size.

11 (ii) That contain or contained a manufacturing operation or an
12 enclosed mall that consists or consisted of 300,000 or more square
13 feet.

14 (iii) That are located in a municipality that is contiguous to a
15 qualified local governmental unit.

16 (o) "Eligible activities" or "eligible activity" means 1 or
17 more of the following:

18 (i) For all eligible properties, eligible activities include
19 all of the following:

20 (A) Department specific activities.

21 (B) Relocation of public buildings or operations for economic
22 development purposes.

23 (C) Reasonable costs of environmental insurance.

24 (D) Reasonable costs incurred to develop and prepare
25 brownfield plans, combined brownfield plans, or work plans for the
26 eligible property, including legal and consulting fees that are not
27 in the ordinary course of acquiring and developing real estate.

28 (E) Reasonable costs of brownfield plan and work plan
29 implementation, including, but not limited to, tracking and



1 reporting of data and plan compliance, including costs to
2 implement, monitor, and maintain compliance with the income and
3 price monitoring responsibilities associated with housing
4 development activities, and the reasonable costs incurred to
5 estimate and determine actual costs incurred, whether those costs
6 are incurred by a municipality, authority, or private developer.

7 (F) Demolition of structures or site improvements that are not
8 a response activity, including removal of manufactured debris
9 composed of discarded, unused, or unusable manufactured by-products
10 left on the site by a previous owner. The removal of the
11 manufactured by-products left on the site described in this sub-
12 subparagraph is not eligible for interest reimbursement under sub-
13 subparagraph (H).

14 (G) Lead, asbestos, or mold abatement.

15 (H) Except as otherwise provided in sub-subparagraph (F), the
16 repayment of principal of and interest on any obligation issued by
17 an authority to pay the costs of eligible activities attributable
18 to an eligible property.

19 (ii) For housing property located in a community that has
20 identified a specific housing need and has absorption data or job
21 growth data included in the brownfield plan, eligible activities
22 include all of the following:

23 (A) The activities described in subparagraph (i).

24 (B) Housing development activities.

25 (C) Infrastructure improvements that are necessary for housing
26 property and support housing development activities.

27 (D) Site preparation that is not a response activity and that
28 supports housing development activities.

29 (iii) For eligible properties located in a qualified local



1 governmental unit, or an economic opportunity zone, or that are a
2 former mill, eligible activities include all of the following:

3 (A) The activities described in subparagraph (i).

4 (B) Infrastructure improvements that directly benefit eligible
5 property.

6 (C) Site preparation that is not a response activity.

7 (iv) For eligible properties that are owned by or under the
8 control of a land bank fast track authority, or a municipality or
9 authority, eligible activities include all of the following:

10 (A) The eligible activities described in subparagraphs (i),
11 (ii), and (iii).

12 (B) Assistance to a land bank fast track authority in clearing
13 or quieting title to, or selling or otherwise conveying, property
14 owned by or under the control of a land bank fast track authority
15 or the acquisition of property by the land bank fast track
16 authority if the acquisition of the property is for economic
17 development purposes.

18 (C) Assistance to a municipality or authority in clearing or
19 quieting title to, or selling or otherwise conveying, property
20 owned by or under the control of a municipality or authority or the
21 acquisition of property by a qualified local governmental unit or
22 authority if the acquisition of the property is for economic
23 development purposes.

24 (v) For eligible activities on eligible property that is
25 included in a transformational brownfield plan, any demolition,
26 construction, restoration, alteration, renovation, or improvement
27 of buildings or site improvements on eligible property, including
28 infrastructure improvements that directly benefit eligible
29 property.



(vi) For eligible activities on eligible property that is a qualified facility that is not located in a qualified local governmental unit and that is a facility, functionally obsolete, or blighted, the following additional activities:

(A) The activities described in subparagraph (i).

(B) Infrastructure improvements that directly benefit eligible property.

(C) Site preparation that is not a response activity.

(p) "Eligible property" means either of the following:

(i) Except as otherwise provided in sub-subparagraph (G), property for which eligible activities are identified under a brownfield plan that was used or is currently used for commercial, industrial, public, or residential purposes, including personal property located on the property, or former dumps, landfills, and other areas filled with nonnative material, to the extent included in the brownfield plan, and that meets 1 or more of the following conditions listed in sub-subparagraphs (A) to (F):

(A) Is in a qualified local governmental unit and is a facility or a site or property as those terms are defined in part 213, historic resource, functionally obsolete, or blighted and includes parcels that are adjacent or contiguous to that property if the development of the adjacent and contiguous parcels is estimated to increase the captured taxable value of that property.

(B) Is not in a qualified local governmental unit and is a facility, historic resource, functionally obsolete, blighted, or a site or property as those terms are defined in part 213, and includes parcels that are adjacent or contiguous to that property if the development of the adjacent and contiguous parcels is estimated to increase the captured taxable value of that property.



(C) Is tax reverted property owned by or under the control of a land bank fast track authority.

(D) Is a transit-oriented development or transit-oriented property.

(E) Is located in a qualified local governmental unit and contains a targeted redevelopment area.

(F) Is undeveloped property that was eligible property in a previously approved brownfield plan abolished under section 14(8).

(G) Eligible property does not include qualified agricultural property exempt under section 7ee of the general property tax act, 1893 PA 206, MCL 211.7ee, from the tax levied by a local school district for school operating purposes to the extent provided under section 1211 of the revised school code, 1976 PA 451, MCL 380.1211.

(ii) Housing property for which eligible activities are identified under a brownfield plan **implemented under section 13 only**, including personal property located on the property, to the extent included in the brownfield plan. **Eligible property under this subparagraph does not include housing property for which eligible activities are identified under a transformational brownfield plan implemented under section 13c. This subparagraph does not prevent housing property for which eligible activities are identified under a transformational brownfield plan implemented under section 13c from qualifying as eligible property under subparagraph (i) if the requirements under subparagraph (i) are met.**

(q) "Environmental insurance" means liability insurance for environmental contamination and cleanup that is not otherwise required by state or federal law.

(r) "Facility" means that term as defined in part 201.

(s) "Fiscal year" means the fiscal year of the authority.



1 (t) "Former mill" means a former mill that has not been used
2 for industrial purposes for the immediately preceding 2 years, that
3 is not located in a qualified local governmental unit, that is a
4 facility or is a site or a property as those terms are defined in
5 part 213, functionally obsolete, or blighted, and that is located
6 within 15 miles of a river that is a federal superfund site listed
7 under the comprehensive environmental response, compensation and
8 liability act of 1980, 42 USC 9601 to 9675, and that is located in
9 a municipality with a population of less than 10,000.

10 (u) "Functionally obsolete" means that the property is unable
11 to be used to adequately perform the function for which it was
12 intended due to a substantial loss in value resulting from factors
13 such as overcapacity, changes in technology, deficiencies or
14 superadequacies in design, or other similar factors that affect the
15 property itself or the property's relationship with other
16 surrounding property.

17 (v) "Governing body" means the elected body having legislative
18 powers of a municipality creating an authority under this act.

19 (w) "Historic resource" means that term as defined in section
20 90a of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

21 (x) "Housing development activities" means 1 or more of the
22 following:

23 (i) Reimbursement provided to owners of rental housing units
24 for qualified rehabilitation.

25 (ii) Costs for infrastructure available for public use and
26 safety improvements necessary for a housing project.

27 (iii) Costs of demolition and renovation of existing buildings
28 and site preparation, to the extent necessary to accommodate an
29 income qualified purchaser household or income qualified renting



1 household.

2 (iv) Temporary household relocation costs for an income
3 qualified household for a period not to exceed 1 year.

4 (v) Acquisition cost for blighted or obsolete rental units, to
5 the extent the acquisition would promote rehabilitation or adaptive
6 reuse of the blighted or obsolete rental unit to accommodate an
7 income qualified purchaser household or income qualified renting
8 household.

9 (vi) Reimbursement provided to a developer to fill a financing
10 gap associated with the development of housing units priced for
11 income qualified households and to assist with costs related to
12 infrastructure improvements and site preparation that are not a
13 response activity and that are necessary for new housing
14 development for income qualified households on eligible property.

15 (y) "Housing property" means 1 or more of the following:

16 (i) A property on which 1 or more units of residential housing
17 are proposed to be constructed, rehabilitated, or otherwise
18 designed to be used as a dwelling.

19 (ii) One or more units of residential housing proposed to be
20 constructed or rehabilitated and located in a mixed-use project.

21 (z) "Income qualified household" means a person, a family, or
22 unrelated persons living together, whose annual household income is
23 not more than 120% of the area median income. As used in this
24 subdivision:

25 (i) "Area median income" means the median income for the area
26 as determined under section 8 of the United States housing act of
27 1937, 42 USC 1437f, adjusted for family size.

28 (ii) "Household income" means all income received by all
29 individuals who are not less than 24 years of age when the



1 household income is determined and who reside in a household while
2 members of the household.

3 (aa) "Income qualified purchaser household" means a purchaser
4 who is, or who is a member of, an income qualified household.

5 (bb) "Income qualified renting household" means a renter who
6 is, or who is a member of, an income qualified household.

7 (cc) "Income tax" means the tax levied and imposed under part
8 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.532.

9 (dd) "Income tax capture revenues" means, with respect to each
10 eligible property subject to a transformational brownfield plan,
11 funds equal to the amount for each tax year by which the aggregate
12 income tax from individuals residing within the eligible property
13 subject to a transformational brownfield plan exceeds the initial
14 income tax value. Subject to subparagraph (iii), the state treasurer
15 shall calculate annually the income tax capture revenues associated
16 with each transformational brownfield plan. In calculating income
17 tax capture revenues, the state treasurer shall subtract from the
18 aggregate amount of income tax credits under sections 255, 265,
19 266, **266a**, and chapter 9 of the income tax act of 1967, 1967 PA
20 281, MCL 206.255, 206.265, 206.266, **206.266a**, and 206.501 to
21 206.532. The state treasurer shall require the owner or developer
22 of the eligible property to provide to the department of treasury
23 all of the following information at the end of each calendar year,
24 including the year in which the resolution adding that eligible
25 property in the transformational brownfield plan is adopted:

26 (i) A list of addresses for all residential units, rental or
27 owner-occupied, within the eligible property.

28 (ii) Any other information that may be necessary to calculate
29 the income tax capture revenues. The information required under



1 this subdivision must be provided in a manner prescribed by the
2 state treasurer.

3 (iii) Notwithstanding anything to the contrary in this
4 subdivision, instead of the reporting and calculation methods
5 otherwise provided for, the owner or developer of a
6 transformational brownfield project site may elect to utilize a
7 safe harbor method of calculating income tax capture revenues.
8 Under this safe harbor method, the Michigan strategic fund shall
9 establish a safe harbor amount of annual income tax capture
10 revenues for each eligible property when the Michigan strategic
11 fund approves the transformational brownfield plan, and those
12 amounts shall serve as the basis for the transmittal of income tax
13 capture revenues to the owner or developer of the transformational
14 project site under section 8a(4). The Michigan strategic fund shall
15 establish the safe harbor amount for an eligible property by
16 imputing a standard annual taxable income for households residing
17 within the eligible property or portion of the eligible property.
18 The safe harbor is effective only to the extent that the
19 residential units within the eligible property or portion of the
20 eligible property are actively leased or, in the case of units made
21 available for sale, sold in an arms-length transaction. Imputations
22 as to standard household taxable income may vary based on location
23 and other relevant factors. The Michigan strategic fund may adjust
24 the safe harbor amount for an eligible property, or portion of the
25 eligible property, after the time of transformational brownfield
26 plan approval as required to reflect changes in the
27 transformational brownfield plan for the transformational project
28 site that may occur after approval of the transformational
29 brownfield plan, if those changes do not result in an aggregate



1 increase in the level of income tax capture revenues from the
 2 amount initially established. ~~The~~ **Except as otherwise provided in**
 3 **this subparagraph, the** owner or developer of the transformational
 4 project site may elect to utilize the safe harbor method of
 5 accounting at any time before the first reimbursement of income tax
 6 capture revenues under the transformational brownfield plan. **For**
 7 **any new project approved by the Michigan strategic fund board after**
 8 **December 31, 2026, the owner or developer of the transformational**
 9 **project site must elect to utilize the safe harbor method of**
 10 **accounting before approval of the project by the Michigan strategic**
 11 **fund board.** An election to utilize the safe harbor method of
 12 accounting, once made, cannot be rescinded. **As used in this**
 13 **subdivision, "Michigan strategic fund board" means the board of**
 14 **directors of the Michigan strategic fund under section 5 of the**
 15 **Michigan strategic fund act, 1984 PA 270, MCL 125.2005.**

16 (ee) "Industrial cleaning" means cleaning or removal of
 17 contaminants from within a structure necessary to achieve the
 18 intended use of the property.

19 (ff) "Infrastructure improvements" means a street, road,
 20 sidewalk, parking facility, pedestrian mall, alley, bridge, sewer,
 21 sewage treatment plant, property designed to reduce, eliminate, or
 22 prevent the spread of identified soil or groundwater contamination,
 23 drainage system, waterway, waterline, water storage facility, rail
 24 line, utility line or pipeline, transit-oriented development,
 25 transit-oriented property, or other similar or related structure or
 26 improvement, together with necessary easements for the structure or
 27 improvement, owned or used by a public agency or functionally
 28 connected to similar or supporting property owned or used by a
 29 public agency, or designed and dedicated to use by, for the benefit



of, or for the protection of the health, welfare, or safety of the public generally, whether or not used by a single business entity, if any road, street, or bridge is continuously open to public access and other property is located in public easements or rights-of-way and sized to accommodate reasonably foreseeable development of eligible property in adjoining areas. Infrastructure improvements also include 1 or more of the following whether publicly or privately owned or operated or located on public or private property:

(i) Underground parking.

(ii) Multilevel parking structures.

(iii) Urban stormwater management systems.

(gg) "Initial income tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the aggregate amount of income tax less credits under sections 255, 265, 266, **266a**, and chapter 9 of the income tax act of 1967, 1967 PA 281, MCL 206.255, 206.265, 206.266, **206.266a**, and 206.501 to 206.532, from individuals residing within the eligible property for the ~~tax-base~~ year **specified** in ~~which the resolution adding that~~ **that adds the** eligible property in the transformational brownfield plan. ~~is adopted.~~

(hh) "Initial sales and use tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the aggregate amount of sales tax and use tax collected from persons located within the eligible property for the ~~tax-base~~ year **specified** in ~~which the resolution adding that~~ **that adds the** eligible property in the transformational brownfield plan. ~~is adopted.~~ For persons with multiple business locations, the applicable amount of sales tax and use tax for purposes of this act



1 is only the sales tax and use tax collections attributable to the
2 business location within the eligible property.

3 (ii) "Initial taxable value" means the taxable value of an
4 eligible property identified in and subject to a brownfield plan at
5 the time the resolution adding that eligible property in the
6 brownfield plan is adopted, as shown either by the most recent
7 assessment roll for which equalization has been completed at the
8 time the resolution is adopted or, if provided by the brownfield
9 plan, by the next assessment roll for which equalization will be
10 completed following the date the resolution adding that eligible
11 property in the brownfield plan is adopted. Property exempt from
12 taxation at the time the initial taxable value is determined is
13 included with the initial taxable value of zero. Property for which
14 a specific tax is paid in lieu of property tax is not considered
15 exempt from taxation. The state tax commission shall prescribe the
16 method for calculating the initial taxable value of property for
17 which a specific tax was paid in lieu of property tax. The initial
18 assessed value may be modified by lowering the initial assessed
19 value once during the term of the brownfield plan through an
20 amendment as provided in section 14 after the tax increment
21 financing plan fails to generate captured taxes for 3 consecutive
22 years due to declines in assessed value.

23 (jj) "Initial withholding tax value" means, with respect to
24 each eligible property subject to a transformational brownfield
25 plan, the amount of income tax withheld under chapter 17 of the
26 income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~
27 **206.718**, from individuals employed within the eligible property for
28 the ~~calendar~~-**base** year **specified** in ~~which the resolution adding the~~
29 **that adds the** eligible property to the plan. ~~is adopted.~~ The



1 initial withholding tax value does not include construction period
2 tax capture revenues.

3 (kk) "Land bank fast track authority" means an authority
4 created under the land bank fast track act, 2003 PA 258, MCL
5 124.751 to 124.774.

6 (ll) "Local taxes" means all taxes levied other than taxes
7 levied for school operating purposes.

8 (mm) "Michigan state housing development authority" means the
9 Michigan state housing development authority created in section 21
10 of the state housing development authority act of 1966, 1966 PA
11 346, MCL 125.1421.

12 (nn) "Michigan strategic fund" means the Michigan strategic
13 fund created under the Michigan strategic fund act, 1984 PA 270,
14 MCL 125.2001 to 125.2094.

15 (oo) "Mixed-use" means a real estate project with planned
16 integration of some combination of retail, office, residential, or
17 hotel uses.

18 (pp) "Municipality" means all of the following:

19 (i) A city.

20 (ii) A village.

21 (iii) A township in those areas of the township that are outside
22 of a village.

23 (iv) A township in those areas of the township that are in a
24 village on the concurrence by resolution of the village in which
25 the zone would be located.

26 (v) A county.

27 (qq) "Owned by or under the control of" means that a land bank
28 fast track authority, a municipality, or a qualified local
29 governmental unit has 1 or more of the following:



(i) An ownership interest in the property.

(ii) A tax lien on the property.

(iii) A tax deed to the property.

(iv) A contract with this state or a political subdivision of this state to enforce a lien on the property.

(v) A right to collect delinquent taxes, penalties, or interest on the property.

(vi) The ability to exercise its authority over the property.

(rr) "Part 111", "part 201", "part 211", or "part 213" means that part as described as follows:

(i) Part 111 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.11101 to 324.11153.

(ii) Part 201 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.20101 to 324.20142.

(iii) Part 211 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.21101 to 324.21113.

(iv) Part 213 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.21301a to 324.21334.

(ss) "Previously developed property" means property that was part of an existing developed residential, commercial, or industrial zone and contained a structure serviced by utilities, or former dumps, landfills, and other areas filled with nonnative material.

(tt) "Qualified facility" means a landfill facility area of 15 or more contiguous acres that is located in a city and that contains, contained, or is adjacent to a landfill, a material recycling facility, or an asphalt plant that is no longer in operation.

(uu) "Qualified local governmental unit" means that term as



1 defined in the obsolete property rehabilitation act, 2000 PA 146,
2 MCL 125.2781 to 125.2797.

3 (vv) "Qualified rehabilitation" means rehabilitation of
4 existing structures that is necessary to make a housing unit
5 suitable for sale to an income qualified purchaser household or
6 rent to an income qualified renting household. Qualified
7 rehabilitation also includes proposed rehabilitation that will
8 bring the structure into conformance with minimum local building
9 code standards for occupancy or improve the livability of the units
10 while meeting minimum local building code standards. As used in
11 this subsection, "existing structures" includes any structure
12 designed to be used as a dwelling.

13 (ww) "Qualified taxpayer" means that term as defined in
14 sections 38d and 38g of former 1975 PA 228, or section 437 of the
15 Michigan business tax act, 2007 PA 36, MCL 208.1437, or a recipient
16 of a community revitalization incentive as described in section 90a
17 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

18 (xx) "Release" means that term as defined in part 201 or part
19 213.

20 (yy) "Response activity" means either of the following:

21 (i) Response activity as that term is defined in part 201.

22 (ii) Corrective action.

23 (zz) "Sales tax" means the tax levied under the general sales
24 tax act, 1933 PA 167, MCL 205.51 to 205.78.

25 (aaa) "Sales and use tax capture revenues" means, with respect
26 to each eligible property subject to a transformational brownfield
27 plan, the amount for each calendar year by which the sales tax and
28 use tax collected from persons within the eligible property exceeds
29 the initial sales and use tax value. For persons with multiple



1 business locations, the applicable amount of sales tax and use tax
2 for purposes of this act is only the sales tax and use tax
3 collections attributable to the business location within the
4 eligible property. To calculate sales and use tax capture revenues
5 for a calendar year under a transformational brownfield plan, the
6 state treasurer or the Michigan strategic fund shall do all of the
7 following:

8 (i) The state treasurer shall develop methods and processes
9 that are necessary for each applicable person within the eligible
10 property to report the amount of sales and use tax from that
11 location.

12 (ii) The Michigan strategic fund shall include all of the
13 following provisions in the development or reimbursement agreement
14 for any transformational brownfield plan that utilizes sales and
15 use tax capture revenues:

16 (A) That the owner or developer of the eligible property shall
17 require each applicable person occupying the eligible property to
18 comply with the reporting requirements under this section through a
19 contract requirement, lease requirement, or other similar means.

20 (B) That reimbursement of sales and use tax capture revenues
21 is limited to amounts that are reported in accordance with this
22 section, and this state has no obligation with respect to sales and
23 use tax capture revenues that are not reported or paid.

24 (bbb) "Specific taxes" means all of the following:

25 (i) A tax levied under any of the following:

26 (A) 1974 PA 198, MCL 207.551 to 207.572.

27 (B) The commercial redevelopment act, 1978 PA 255, MCL 207.651
28 to 207.668.

29 (C) The enterprise zone act, 1985 PA 224, MCL 125.2101 to



1 125.2123.

2 (D) 1953 PA 189, MCL 211.181 to 211.182.

3 (E) The technology park development act, 1984 PA 385, MCL
4 207.701 to 207.718.

5 (F) The obsolete property rehabilitation act, 2000 PA 146, MCL
6 125.2781 to 125.2797.

7 (G) The neighborhood enterprise zone act, 1992 PA 147, MCL
8 207.771 to 207.786.

9 (H) The commercial rehabilitation act, 2005 PA 210, MCL
10 207.841 to 207.856.

11 (I) The attainable housing facilities act, 2022 PA 236, MCL
12 207.901 to 207.916.

13 (J) The residential housing facilities act, 2022 PA 237, MCL
14 207.951 to 207.966.

15 (ii) That portion of the tax levied under the tax reverted
16 clean title act, 2003 PA 260, MCL 211.1021 to 211.1025a, that is
17 not required to be distributed to a land bank fast track authority.

18 (ccc) "State brownfield redevelopment fund" means the state
19 brownfield redevelopment fund created in section 8a.

20 (ddd) "Targeted redevelopment area" means not fewer than 40
21 and not more than 500 contiguous parcels of real property located
22 in a qualified local governmental unit and designated as a targeted
23 redevelopment area by resolution of the governing body and approved
24 by the Michigan strategic fund. A qualified local governmental unit
25 is limited to designating no more than 2 targeted redevelopment
26 areas for the purposes of this section in a calendar year. The
27 Michigan strategic fund may approve no more than 5 targeted
28 redevelopment areas for the purposes of this section in a calendar
29 year.



(eee) "Tax increment revenues" means the amount of ad valorem property taxes and specific taxes attributable to the application of the levy of all taxing jurisdictions on the captured taxable value of each parcel of eligible property subject to a brownfield plan and personal property located on that property, regardless of whether those taxes began to be levied after the brownfield plan was adopted. Tax increment revenues also include the amount of any payment in lieu of taxes under section 15a(3) of the state housing development authority act of 1966, 1966 PA 346, MCL 125.1415a, paid on an eligible property subject to a brownfield plan, less the amount of property taxes levied on the eligible property subject to the brownfield plan for the year the eligible property became subject to the brownfield plan. Tax increment revenues do not include any of the following:

(i) Ad valorem property taxes specifically levied for the payment of principal of and interest on either obligations approved by the electors or obligations pledging the unlimited taxing power of the local governmental unit, and specific taxes attributable to those ad valorem property taxes.

(ii) For tax increment revenues attributable to eligible property, the amount of ad valorem property taxes or specific taxes captured by a downtown development authority under part 2 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4201 to 125.4230, tax increment finance authority under part 3 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4301 to 125.4329, corridor improvement authority under part 6 of the recodified tax increment financing act, 2018 PA 57, MCL 125.4602 to 125.4629, or local development finance authority under part 4 of the recodified tax increment financing act, 2018 PA 57, MCL



1 125.4401 to 125.4420, if those taxes were captured by these other
2 authorities on the date that eligible property became subject to a
3 brownfield plan under this act, unless these other authorities
4 agree to forgo or transfer their taxes in support of the brownfield
5 plan.

6 (iii) Ad valorem property taxes levied under 1 or more of the
7 following or specific taxes attributable to those ad valorem
8 property taxes:

9 (A) The zoological authorities act, 2008 PA 49, MCL 123.1161
10 to 123.1183.

11 (B) The art institute authorities act, 2010 PA 296, MCL
12 123.1201 to 123.1229.

13 (fff) "Taxable value" means the value determined under section
14 27a of the general property tax act, 1893 PA 206, MCL 211.27a.

15 (ggg) "Taxes levied for school operating purposes" means all
16 of the following:

17 (i) The taxes levied by a local school district for operating
18 purposes.

19 (ii) The taxes levied under the state education tax act, 1993
20 PA 331, MCL 211.901 to 211.906.

21 (iii) That portion of specific taxes attributable to taxes
22 described under subparagraphs (i) and (ii).

23 (hhh) "Transformational brownfield plan" means a brownfield
24 plan that meets the requirements of section 13c and is adopted
25 under section 14a and, as designated by resolution of the governing
26 body and approved by the Michigan strategic fund, will have a
27 transformational impact on local economic development and community
28 revitalization based on the extent of brownfield redevelopment and
29 growth in population, commercial activity, and employment that will



1 result from the plan. To be designated a transformational
2 brownfield plan, a transformational brownfield plan under this
3 subdivision must be for mixed-use development unless waived by the
4 Michigan strategic fund as provided under section 14a(26) and must
5 be expected to result in the following levels of capital
6 investment:

7 (i) In a municipality that is not a county and that has a
8 population of not less than 600,000, \$500,000,000.00.

9 (ii) In a municipality that is not a county and that has a
10 population of not less than 150,000 and not more than 599,999,
11 \$100,000,000.00.

12 (iii) In a municipality that is not a county and that has a
13 population of not less than 100,000 and not more than 149,999,
14 \$75,000,000.00.

15 (iv) In a municipality that is not a county and that has a
16 population of not less than 50,000 and not more than 99,999,
17 \$50,000,000.00.

18 (v) In a municipality that is not a county and that has a
19 population of not less than 25,000 and not more than 49,999,
20 \$25,000,000.00.

21 (vi) In a municipality that is not a county and that has a
22 population of less than 25,000, \$15,000,000.00.

23 (iii) "Transit-oriented development" means infrastructure
24 improvements that are located within 1/2 mile of a transit station
25 or transit-oriented property that promotes transit ridership or
26 passenger rail use as determined by the board and approved by the
27 municipality in which it is located.

28 (jjj) "Transit-oriented property" means property that houses a
29 transit station in a manner that promotes transit ridership or



1 passenger rail use.

2 (kkk) "Use tax" means the tax levied under the use tax act,
3 1937 PA 94, MCL 205.91 to 205.111, including both the local
4 community stabilization share and the state share as those terms
5 are defined in section 2c of the use tax act, 1937 PA 94, MCL
6 205.92c.

7 (lll) "Withholding-disqualified employee" means an employee,
8 other than a retail employee or hospitality employee, who meets
9 both of the following conditions:

10 (i) Is employed by an employer that employs more than 50
11 employees in this state or that is receiving an economic incentive
12 from the Michigan strategic fund.

13 (ii) Is employed in a position that is not a new job. As used
14 in this subdivision:

15 (A) "Hospitality employee" means an individual employed at a
16 hospitality establishment in a position that is responsible for
17 ensuring a positive guest experience.

18 (B) "Hospitality establishment" means a place of business that
19 provides 1 or more of the following services to guests:

20 (I) Accommodation services, including, but not limited to,
21 hotels, motels, resorts, and bed and breakfast establishments.

22 (II) Food and beverage services, including, but not limited
23 to, restaurants, cafes, bars, catering services, and nightclubs.

24 (C) "New job" means a job created by the employer within the
25 eligible property that is in addition to the jobs the employer
26 maintained in this state before the employer commenced occupancy
27 within the eligible property. New job does not include either of
28 the following:

29 (I) A position relocated from another location in this state



1 to within the eligible property.

2 (II) A position at another location in this state that was
3 terminated or eliminated and rehired within the eligible property.

4 (D) "Retail employee" means an individual employed at a retail
5 establishment.

6 (E) "Retail establishment" means a place of business open to
7 the general public for the sale of goods or services to the final
8 consumer.

9 (mmm) "Withholding-disqualified entity" means an entity that
10 relocates its facility from another location in this state to
11 within the eligible property and that does not do 1 of the
12 following:

13 (i) Expand the size of its relocated facility.

14 (ii) Employ more individuals after the relocation than it did
15 before the relocation.

16 (iii) Have another valid business reason for the relocation as
17 documented by a third-party analysis.

18 (nnn) ~~(III)~~ "Withholding tax capture revenues" means, with
19 respect to each eligible property subject to a transformational
20 brownfield plan, the amount for each calendar year by which the
21 income tax withheld under chapter 17 of the income tax act of 1967,
22 1967 PA 281, MCL 206.701 to ~~206.715~~, **206.718**, from individuals
23 employed within the eligible property exceeds the initial
24 withholding tax value. Withholding tax capture revenues do not
25 include income tax from individuals domiciled within the eligible
26 property or construction period tax capture revenues. **For**
27 **transformational brownfield plans approved after the effective date**
28 **of the amendatory act that added section 16a, withholding tax**
29 **capture revenues do not include income tax withholdings**



1 **attributable to withholding-disqualified employees or employees of**
 2 **a withholding-disqualified entity.** To calculate withholding tax
 3 capture revenues for a calendar year under a transformational
 4 brownfield plan, the state treasurer or the Michigan strategic fund
 5 shall do all of the following:

6 (i) The state treasurer shall require the owner or developer of
 7 the eligible property to provide the department of treasury with
 8 notice not more than 10 days from the date an employer commences or
 9 terminates occupancy within the eligible property. As used in this
 10 subdivision, "employer" means that term as defined in section 8 of
 11 the income tax act of 1967, 1967 PA 281, MCL 206.8.

12 (ii) The state treasurer shall develop methods and processes
 13 that are necessary for each employer occupying the eligible
 14 property to report **both of the following:**

15 (A) **The** amount of withholding under chapter 17 of the income
 16 tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~ **206.718**, from
 17 individuals employed within the eligible property.

18 (B) **For transformational brownfield plans approved after the**
 19 **effective date of the amendatory act that added section 16a, the**
 20 **information necessary to determine whether individuals employed**
 21 **within the eligible property are withholding-disqualified employees**
 22 **or employees of a withholding-disqualified entity. The methods and**
 23 **processes developed for an employer to report the information under**
 24 **this sub-subparagraph may require an employer to annually certify**
 25 **that employees within the eligible property are not withholding-**
 26 **disqualified employees and that the employer is not a withholding-**
 27 **disqualified entity.**

28 (iii) The Michigan strategic fund shall include the following
 29 provisions in the development or reimbursement agreement for any



1 transformational brownfield plan that utilizes withholding tax
2 capture revenues:

3 (A) That the owner or developer of the eligible property shall
4 require each employer occupying the eligible property to comply
5 with the reporting requirements under this section through a
6 contract requirement, lease requirement, or other similar means.

7 (B) That reimbursement of withholding tax capture revenues is
8 limited to amounts that are reported in accordance with chapter 17
9 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~
10 **206.718**, and this state has no obligation with respect to
11 withholding tax capture revenues that are not reported or paid.

12 (iv) ~~Notwithstanding~~ **Except as otherwise provided in this**
13 **subparagraph and notwithstanding** anything to the contrary in this
14 subdivision, instead of the reporting and calculation methods
15 otherwise provided for, the owner or developer of a
16 transformational project site may elect to utilize a safe harbor
17 method of calculating withholding tax capture revenues. **Use of the**
18 **safe harbor method does not eliminate a reporting requirement**
19 **described in subparagraph (ii) (B) or section 14a(7) (b).** Under ~~this~~
20 **the** safe harbor method, the Michigan strategic fund shall establish
21 a safe harbor amount of annual withholding tax capture revenues for
22 each eligible property when the Michigan strategic fund approves
23 the transformational brownfield plan, and, **except as otherwise**
24 **provided in this subparagraph**, those amounts shall serve as the
25 basis for the transmittal of withholding tax capture revenues to
26 the owner or developer of the transformational project site under
27 section 8a(4). The Michigan strategic fund shall establish the safe
28 harbor amount for an eligible property by imputing a standard level
29 of employee occupancy that corresponds to the size and use of the



1 eligible property or portion of the eligible property and a safe
2 harbor average annual taxable wage for the individuals employed
3 within the eligible property or portion of the eligible property.
4 The safe harbor is effective only to the extent the eligible
5 property or portion of the eligible property is actively occupied,
6 as evidenced by the existence of a binding lease agreement or
7 similar instrument. Imputations as to occupancy and wages may vary
8 between projects based on location, the type and use of the
9 eligible property, and other relevant factors. The Michigan
10 strategic fund may adjust the safe harbor amount for an eligible
11 property, or portion of the eligible property, after the time of
12 plan approval as required to reflect changes in the
13 transformational brownfield plan for the transformational project
14 site that may occur after approval of the transformational
15 brownfield plan, if those changes do not result in an aggregate
16 increase in the level of withholding tax capture revenues from the
17 amount initially established. **The Michigan strategic fund may**
18 **adjust the safe harbor amount for an eligible property, or portion**
19 **of the eligible property, after the time of plan approval as**
20 **required to account for withholding-disqualified employees, if the**
21 **number of withholding-disqualified employees exceeds the amount**
22 **estimated in the initial safe harbor calculation. Except as**
23 **otherwise provided in this subparagraph, the** owner or developer of
24 the transformational project site may elect to utilize the safe
25 harbor method of accounting at any time before the first
26 reimbursement of withholding tax capture revenues under the plan.
27 **For any new project approved by the Michigan strategic fund board**
28 **after December 31, 2026, the owner or developer of the**
29 **transformational project site must elect to utilize the safe harbor**

1 **method of accounting before approval of the project by the Michigan**
 2 **strategic fund board.** An election to utilize the safe harbor method
 3 of accounting, once made, cannot be rescinded **for projects approved**
 4 **on or before December 31, 2026, without approval by the Michigan**
 5 **strategic fund. As used in this subdivision, "Michigan strategic**
 6 **fund board" means the board of directors of the Michigan strategic**
 7 **fund under section 5 of the Michigan strategic fund act, 1984 PA**
 8 **270, MCL 125.2005.**

9 **(ooo)** ~~(mmm)~~ "Work plan" means a plan that describes each
 10 individual activity to be conducted to complete eligible activities
 11 and the associated costs of each individual activity.

12 **(ppp)** ~~(nnn)~~ "Zone" means, for an authority established before
 13 June 6, 2000, a brownfield redevelopment zone designated under this
 14 act.

15 Sec. 13c. (1) Subject to the approval of the governing body
 16 and Michigan strategic fund under section 14a, the board may
 17 implement a transformational brownfield plan. The transformational
 18 brownfield plan may consist of a single development on eligible
 19 property or a series of developments on eligible property that are
 20 part of a related program of investment, whether or not located on
 21 contiguous parcels, and may be amended to apply to additional
 22 parcels of eligible property **if each additional parcel of property**
 23 **is a site or property as those terms are defined in part 213, a**
 24 **facility, a historic resource, functionally obsolete, or blighted.**
 25 Each amendment to a transformational brownfield plan must be
 26 approved by the governing body of the municipality in which it is
 27 located and the Michigan strategic fund and must be consistent with
 28 the approval requirements in this section.

29 (2) A transformational brownfield plan may authorize the use



1 of construction period tax capture revenues, withholding tax
2 capture revenues, income tax capture revenues, tax increment
3 revenues, and sales and use tax capture revenues for eligible
4 activities described in section 2(o)(v). Except as otherwise
5 provided in section 13b(6)(d), tax increment revenues, construction
6 period tax capture revenues, withholding tax capture revenues,
7 income tax capture revenues, and sales and use tax capture revenues
8 must be used only for the costs of eligible activities included
9 within the transformational brownfield plan to which the revenues
10 are attributable, including the cost of principal of and interest
11 on any obligation to pay the cost of the eligible activities.

12 (3) A transformational brownfield plan is a brownfield plan
13 and, except as otherwise provided, is subject to sections 13, 13a,
14 13b, 14, and 15. In addition to the information required under
15 section 13(2), a transformational brownfield plan must contain all
16 of the following:

17 (a) The basis for designating the plan as a transformational
18 brownfield plan under section 2(hhh).

19 (b) A description of the costs of the transformational
20 brownfield plan intended to be paid for with construction period
21 tax capture revenues, withholding tax capture revenues, income tax
22 capture revenues, and sales and use tax capture revenues.

23 (c) An estimate of the amount of construction period tax
24 capture revenues, withholding tax capture revenues, income tax
25 capture revenues, and sales and use tax capture revenues expected
26 to be generated for each year of the transformational brownfield
27 plan from the eligible property.

28 (d) The beginning date and duration of capture of construction
29 period tax capture revenues, withholding tax capture revenues,



1 income tax capture revenues, and sales and use tax capture revenues
2 for each eligible property as determined under subsections (8) and
3 (11).

4 (4) Subject to section 14a(7), the transformational brownfield
5 plan may provide for the use of part or all of the tax increment
6 revenues, construction period tax capture revenues, withholding tax
7 capture revenues, income tax capture revenues, and sales and use
8 tax capture revenues. The portion of tax increment revenues,
9 construction period tax capture revenues, withholding tax capture
10 revenues, income tax capture revenues, and sales and use tax
11 capture revenues to be used may vary over the duration of the
12 transformational brownfield plan, but the portion intended to be
13 used must be clearly stated in the transformational brownfield
14 plan.

15 (5) Approval of a transformational brownfield plan, or an
16 amendment to a transformational brownfield plan, must be in
17 accordance with the notice, approval, and public hearing
18 requirements of sections 14 and 14a, except that the governing body
19 shall provide notice to the Michigan strategic fund not less than
20 30 days before the hearing on a transformational brownfield plan.

21 (6) If a transformational brownfield plan authorizes the use
22 of construction period tax capture revenues, withholding tax
23 capture revenues, income tax capture revenues, or sales and use tax
24 capture revenues, approval of a combined brownfield plan or work
25 plan by the Michigan strategic fund and a written development or
26 reimbursement agreement between the owner or developer of the
27 eligible property, the authority, and the Michigan strategic fund
28 are required. **For transformational brownfield plans approved after**
29 **the effective date of the amendatory act that added section 16a,**



1 **the written development or reimbursement agreement must include**
2 **annual project milestones that must be met to capture taxes or**
3 **continue to capture taxes.** If a plan authorizes the use of tax
4 increment revenues for eligible activities under section 2(o)(v)
5 other than eligible activities described in section 13b, approval
6 of a work plan or combined brownfield plan by the Michigan
7 strategic fund to use tax increment revenues for those additional
8 eligible activities is required. A work plan or combined brownfield
9 plan under this subsection must be consolidated with a work plan or
10 combined brownfield plan under section 13b(4). The eligible
11 activities to be conducted must be consistent with the work plan
12 submitted by the authority to the Michigan strategic fund. **As used**
13 **in this subsection, "milestone" means a goal that must be achieved**
14 **along a project timeline and that reflects the progress of a**
15 **project. Milestone may include, but is not limited to, goals**
16 **regarding construction progress, capital investment, or residential**
17 **housing completion.**

18 (7) On approval of the transformational brownfield plan by the
19 governing body and Michigan strategic fund, and the execution of
20 the written development or reimbursement agreement, the transfer
21 and distribution of construction period tax capture revenues,
22 withholding tax capture revenues, income tax capture revenues, and
23 sales and use tax capture revenues as specified in this act and in
24 the plan are binding on this state and the collection and
25 transmission of the amount of tax increment revenues as specified
26 in this act and in the plan are binding on all taxing units levying
27 ad valorem property taxes or specific taxes against property
28 subject to the transformational brownfield plan.

29 (8) A transformational brownfield plan must not authorize the



1 capture or use of tax increment revenues, construction period tax
2 capture revenues, withholding tax capture revenues, income tax
3 capture revenues, or sales and use tax capture revenues after the
4 year in which the total amount of the revenue captured under the
5 transformational brownfield plan is equal to the sum of the costs
6 permitted to be funded with the revenue under the transformational
7 brownfield plan.

8 (9) The brownfield authority and Michigan strategic fund may
9 reimburse advances, with or without interest, made by a
10 municipality under section 7(3), a land bank fast track authority,
11 or any other person or entity for costs of eligible activities
12 included within a transformational brownfield plan using tax
13 increment revenues, construction period tax capture revenues,
14 withholding tax capture revenues, income tax capture revenues, or
15 sales and use tax capture revenues attributable to that plan. On
16 approval of the Michigan strategic fund, the amount of tax
17 increment revenues, construction period tax capture revenues,
18 withholding tax capture revenues, income tax capture revenues, and
19 sales and use tax capture revenues authorized to be captured under
20 a transformational brownfield plan may include amounts required for
21 the payment of interest under this subsection. A written
22 development or reimbursement agreement must be entered into under
23 subsection (6) before any reimbursement or payment using tax
24 increment revenues, construction period tax capture revenues,
25 withholding tax capture revenues, income tax capture revenues, or
26 sales and use tax capture revenues may commence. A reimbursement
27 agreement for these purposes and the obligations under that
28 reimbursement agreement are not subject to section 12 or the
29 revised municipal finance act, 2001 PA 34, MCL 141.2101 to



1 141.2821.

2 (10) Eligible activities conducted on eligible property before
3 approval of the transformational brownfield plan may be reimbursed
4 from tax increment revenues, construction period tax capture
5 revenues, withholding tax capture revenues, income tax capture
6 revenues, and sales and use tax capture revenues if those costs and
7 the eligible property are subsequently included in a
8 transformational brownfield plan approved by the governing body and
9 Michigan strategic fund, a combined brownfield plan or work plan
10 approved by the Michigan strategic fund, and a written development
11 or reimbursement agreement under subsection (6). Reimbursement
12 under this subsection is limited to eligible expenses incurred
13 within 90 days of the approval of the transformational brownfield
14 plan by the Michigan strategic fund.

15 (11) The duration of the capture of withholding tax capture
16 revenues, income tax capture revenues, and sales and use tax
17 capture revenues under a transformational brownfield plan for a
18 particular eligible property must not exceed the lesser of the
19 period authorized under subsection (8) or 20 years from the
20 beginning date of the capture of withholding tax capture revenues
21 income tax capture revenues, and sales and use tax capture revenues
22 for that eligible property. The beginning date for the capture of
23 tax increment revenues, withholding tax capture revenues, income
24 tax capture revenues, and sales and use tax capture revenues for an
25 eligible property must not be later than 5 years following the date
26 the Michigan strategic fund approves the inclusion of the eligible
27 property in a transformational brownfield plan. Subject to the
28 approval of the governing body and Michigan strategic fund, the
29 authority may amend the beginning date of capture of tax increment



1 revenues, withholding tax capture revenues, income tax capture
 2 revenues, and sales and use tax capture revenues to a date not
 3 later than 5 years following the date the Michigan strategic fund
 4 approved inclusion of the eligible property in the transformational
 5 brownfield plan if capture of the revenues under the
 6 transformational brownfield plan has not yet commenced. Solely with
 7 respect to a related program of investment as defined in subsection
 8 (12), subject to the approval of the governing body and Michigan
 9 strategic fund, the authority may amend the beginning date of
 10 capture of tax increment revenues, withholding tax capture
 11 revenues, income tax capture revenues, and sales and use tax
 12 capture revenues for an eligible property included within a related
 13 program of investment to a date later than 5 years following the
 14 date the Michigan strategic fund approved inclusion of the eligible
 15 property in the transformational brownfield plan if the governing
 16 body and Michigan strategic fund determine that the developer of
 17 the related program of investment has proceeded in good faith and
 18 made reasonable and substantial progress in the implementation of
 19 the related program of investment. **Construction period tax capture**
 20 **revenues may not be captured under a transformational brownfield**
 21 **plan for a particular eligible property after the date that is 5**
 22 **years after the date the Michigan strategic fund initially approves**
 23 **the transformational brownfield plan.**

24 (12) For purposes of subsection (1), a series of developments
 25 on parcels that are not contiguous is considered a related program
 26 of investment if all of the following are met:

27 (a) The developments are proposed to be undertaken
 28 concurrently or in reasonable succession.

29 (b) For developments under affiliated ownership, the



1 developments are reasonably contiguous and are part of a program of
2 investment in a logically defined geography, including, but not
3 limited to, a downtown district as defined in section 201 of the
4 recodified tax increment financing act, 2018 PA 57, MCL 125.4201,
5 or a principal shopping district or business improvement district
6 as defined in section 1 of 1961 PA 120, MCL 125.981, and including
7 areas that are logically related to those districts and that will
8 promote infill development.

9 (c) For developments under unrelated ownership, in addition to
10 the criteria described in subdivisions (a) and (b), the
11 developments are part of a master development plan, area plan, sub-
12 area plan, or similar development plan that has been approved or
13 adopted by resolution of the governing body.

14 (d) The designation of the developments as a related program
15 of investment is consistent with the purposes of this act and is
16 not a combination of unrelated or minimally related projects
17 calculated to meet the minimum investment threshold.

18 (13) If undeveloped property included in a transformational
19 brownfield plan has been designated as a renaissance zone under the
20 Michigan renaissance zone act, 1996 PA 376, MCL 125.2681 to
21 125.2696, on the request of the owner or developer of the eligible
22 property and the local governmental unit that designated the zone,
23 the Michigan strategic fund, and a city levying a tax under the
24 city income tax act, 1964 PA 284, MCL 141.501 to 141.787, may elect
25 under section 9(4) of the Michigan renaissance zone act, 1996 PA
26 376, MCL 125.2689, to terminate the exemptions, deductions, or
27 credits provided for in section 9(1)(b) and (c) of that act, and
28 reimburse the authority, or owner or developer of the eligible
29 property, an annual amount equal to the revenue collected for each



1 tax year as a result of the termination of the exemptions,
2 deductions, or credits that would otherwise be in effect. In
3 implementing this subsection, all of the following apply:

4 (a) The authority and Michigan strategic fund shall include
5 amounts anticipated to be collected under this subsection in the
6 income tax capture revenues authorized to be used under the
7 transformational brownfield plan and associated work plan or
8 combined brownfield plan.

9 (b) The state treasurer shall calculate for each tax year the
10 amount of revenue this state collected as a result of the operation
11 of this subsection and shall deposit that amount as income tax
12 capture revenues into the state brownfield redevelopment fund,
13 where the funds must be transmitted in the manner provided for in
14 sections 8a(4) and 16(8).

15 (c) A city levying a city income tax under the city income tax
16 act, 1964 PA 284, MCL 141.501 to 141.787, shall calculate for each
17 tax year the amount of revenue the city collected as a result of
18 the operation of this subsection and shall enter into a binding
19 reimbursement agreement with the authority, and owner or developer
20 of the eligible property, providing for the payment of the amounts
21 to the authority, or the owner or developer of the eligible
22 property, for eligible activities as provided in the
23 transformational brownfield plan. City income taxes administered by
24 the department of treasury pursuant to the city income tax act,
25 1964 PA 284, MCL 141.501 to 141.787, are subject to the procedures
26 of subdivision (b) regarding the calculation and deposit of any
27 revenue collected as a result of the operation of this subsection.

28 (d) The department of treasury may require the owner or
29 developer to submit any information necessary for the calculation



1 of revenue collected pursuant to the operation of this subsection.
2 This state has no obligation for calculating revenues to be
3 collected pursuant to the operation of this subsection if the
4 required information is not reported.

5 (14) The authority and governing body are solely responsible
6 for deciding whether to seek approval of a brownfield plan as a
7 transformational brownfield plan. Nothing in this section or
8 section 14a operates to prejudice or limit consideration of a
9 brownfield plan under sections 13 and 14, including a decision by
10 the Michigan strategic fund not to approve a plan as a
11 transformational brownfield plan.

12 (15) This act does not preclude an authority established by a
13 county from seeking approval of a brownfield plan as a
14 transformational brownfield plan. In the event that an authority
15 established by a county seeks approval of a plan that extends into
16 more than 1 of its component local units of government and that
17 plan includes eligible property in more than 1 municipality that is
18 not a county, the minimum investment requirements of section 2(hhh)
19 must be established with reference to combined population of the
20 municipalities that are not a county in which the eligible property
21 is located.

22 Sec. 14a. (1) The governing body and Michigan strategic fund
23 shall determine whether to approve a transformational brownfield
24 plan in accordance with this section.

25 (2) The governing body shall make an initial determination as
26 to whether the transformational brownfield plan constitutes a
27 public purpose in accordance with section 14(5). If the governing
28 body determines the transformational brownfield plan does not
29 constitute a public purpose, it shall reject the transformational



1 brownfield plan.

2 (3) If the governing body determines that the transformational
3 brownfield plan constitutes a public purpose, the governing body
4 may then approve or reject the transformational brownfield plan, or
5 approve it with modification, by resolution based on all of the
6 following considerations:

7 (a) Whether the transformational brownfield plan meets the
8 requirements of section 2(hhh), which must include a determination
9 that the transformational brownfield plan is calculated to, and has
10 the reasonable likelihood to, have a transformational impact on
11 local economic development and community revitalization based on
12 the extent of brownfield redevelopment and growth in population,
13 commercial activity, and employment that will result from the
14 transformational brownfield plan.

15 (b) Whether the transformational brownfield plan meets the
16 requirements of sections 13, 13b, and 13c.

17 (c) Whether the costs of eligible activities proposed are
18 reasonable and necessary to carry out the purposes of this act.

19 (d) Whether the amount of captured taxable value, construction
20 period tax capture revenues, withholding tax capture revenues,
21 income tax capture revenues, and sales and use tax capture revenues
22 estimated to result from adoption of the transformational
23 brownfield plan are reasonable.

24 (e) Whether the transformational brownfield plan takes into
25 account the criteria described in section 90b(4) of the Michigan
26 strategic fund act, 1984 PA 270, MCL 125.2090b.

27 (f) Whether subject to subsection (22)(d), the
28 transformational brownfield plan includes provisions for affordable
29 housing.



1 (4) Within 90 days of the completion of an administratively
2 complete application and the analysis required under subsection
3 (5), the Michigan strategic fund shall approve or reject the
4 transformational brownfield plan, or approve it with modification,
5 by resolution based on the criteria in subsection (3).

6 (5) In determining whether to approve a transformational
7 brownfield plan under subsection (3)(c) and (d), the Michigan
8 strategic fund shall conduct a financial and underwriting analysis
9 of the developments included in the plan. The analysis must
10 consider both projected rental rates at the time of project
11 delivery and potential increases in rental rates over time. ~~The~~
12 **Except as otherwise provided in this subsection, the** Michigan
13 strategic fund shall not approve the use of construction period tax
14 capture revenues, withholding tax capture revenues, income tax
15 capture revenues, and sales and use tax capture revenues beyond the
16 amount determined to be necessary for the project to be
17 economically viable. The Michigan strategic fund shall develop
18 standardized underwriting criteria for determining economic
19 viability. The Michigan strategic fund shall take into account the
20 impact of the sales and use tax exemptions under section 4d(n) of
21 the general sales tax act, 1933 PA 167, MCL 205.54d, and section
22 4dd of the use tax act, 1937 PA 94, MCL 205.94dd, in determining
23 the amount of construction period tax capture revenues, withholding
24 tax capture revenues, income tax capture revenues, and sales and
25 use tax capture revenues required for the project to be
26 economically viable. The Michigan strategic fund shall ensure that
27 each transformational brownfield plan includes a significant equity
28 contribution from the owner or developer as determined by the
29 **Michigan strategic** fund.



(6) The Michigan strategic fund shall require an independent, third-party underwriting analysis under subsection (3) (d) **and an independent, third-party analysis of the plan's anticipated fiscal benefits to this state** for any plan that **either** proposes to use more than \$10,000,000.00 in any year in withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues, as determined by the first full year of tax capture under the plan, **or is using the safe harbor method of calculation under section 2(dd) (iii) or (nnn) (iv) and the actual capital investment, as determined in accordance with section 2(o) (v) and (hhh), has a total development cost of \$100,000,000.00 or more.** The cost of the independent, third-party ~~underwriting analysis~~ **analyses** must be paid by the owner or developer of the eligible property. In addition to the independent, third-party underwriting analysis **and the independent, third-party analysis of the plan's anticipated fiscal benefits to this state,** the Michigan strategic fund shall require an independent, third-party analysis of the sales and use tax capture revenue estimates for any plan that includes sales and use tax capture revenues. The cost of the independent, third-party analysis must be paid by the owner or developer of the eligible property. ~~The Michigan strategic fund shall consult with the state treasurer before approving any transformational brownfield plan subject to this subsection.~~ This subsection does not limit the ability of the Michigan strategic fund to utilize independent, third-party analyses on plans not subject to this subsection.

(7) Except as otherwise provided in this subsection, the Michigan strategic fund may not approve a transformational brownfield plan that proposes to use more than 50% of the



1 withholding tax capture revenues or 50% of the income tax capture
2 revenues. The Michigan strategic fund may modify the amount of
3 withholding tax capture revenues and income tax capture revenues
4 before approving a transformational brownfield plan to bring the
5 transformational brownfield plan into compliance with subsection
6 (5). The Michigan strategic fund may approve a transformational
7 brownfield plan that proposes to use more than 50% of the income
8 tax capture revenues if 1 of the following applies:

9 (a) The income tax capture revenues are attributable to the
10 election under section 13c(13).

11 (b) The applicable eligible properties within the
12 transformational brownfield plan are subject to a written, binding
13 ~~affordable~~ housing agreement with the local governmental unit **that**
14 **provides that not less than 20% of the residential housing units on**
15 **the eligible property must be used for affordable housing,** which
16 agreement must be provided to the Michigan strategic fund, in which
17 case the Michigan strategic fund may approve a transformational
18 brownfield plan that proposes to use up to 100% of the income tax
19 capture revenues, subject to the underwriting and financial
20 analysis required under subsection (5). **As used in this**
21 **subdivision, "affordable housing" means residential housing units**
22 **that are rented or sold to income qualified households.**

23 (8) The Michigan strategic fund shall require the owner or
24 developer of the eligible property to certify the actual capital
25 investment, as determined in accordance with section 2(o)(v) and
26 (hhh), on the completion of construction and before the
27 commencement of reimbursement from withholding tax capture
28 revenues, income tax capture revenues, sales and use tax capture
29 revenues, or tax increment revenues, for the plan or the distinct



1 phase or project within the plan for which reimbursement will be
 2 provided. If the actual capital investment is less than the amount
 3 included in the plan, the Michigan strategic fund shall review the
 4 determination under subsection (5) and may modify the amount of
 5 reimbursement if, and to the extent, such a modification is
 6 necessary to maintain compliance with subsection (5). The
 7 transformational brownfield plan, work plan, and development and
 8 reimbursement agreement must include provisions to enforce the
 9 requirements and remedies under this subsection. If the actual
 10 level of capital investment does not meet the applicable minimum
 11 investment requirement under section 2(hhh) and is outside of the
 12 safe harbor under subsection (15), the Michigan strategic fund ~~may~~
 13 **shall** take 1 **or more** of the following remedial actions:

14 (a) ~~For a plan that consists of a single development, reduce~~
 15 **Reduce** the amount of reimbursement under the plan.

16 (b) ~~For a plan that consists of distinct phases or projects,~~
 17 ~~if~~**If** the failure to meet the minimum investment threshold is the
 18 result of failure to undertake additional distinct phases or
 19 projects as provided for in the plan, 1 or more of the following:

20 (i) Permanently rescind the authorization to use tax increment
 21 revenues, construction period tax capture revenues, withholding tax
 22 capture revenues, income tax capture revenues, and sales and use
 23 tax capture revenues for the additional distinct phases or projects
 24 in the plan.

25 (ii) ~~If the Michigan strategic fund determines that the~~
 26 ~~applicable owner or developer acted in bad faith, reduce~~**Reduce** the
 27 amount of reimbursement for completed phases of the plan.

28 (c) **If the Michigan strategic fund determines that the**
 29 **applicable owner or developer acted in bad faith with respect to**



1 **the level of capital investment, cease all reimbursement under the**
2 **plan.**

3 (9) On approval by the Michigan strategic fund, the minimum
4 investment requirements in section 2(hhh) and limitation under
5 subsection (22)(a) and (b) may be waived if the transformational
6 brownfield plan meets 1 of the following criteria:

7 (a) Is for eligible property in an area approved by the
8 Michigan state housing development authority as eligible for blight
9 elimination program funding under the housing finance agency
10 innovation fund for the hardest hit housing markets authorized
11 pursuant to the emergency economic stabilization act of 2008,
12 division A of Public Law 110-343, 12 USC 5201 to 5261. For purposes
13 of this subdivision, an area approved as eligible for blight
14 elimination program funding means that specific portion or portions
15 of a municipality where the Michigan state housing development
16 authority approved the expenditure of blight elimination program
17 funds pursuant to an application identifying the target areas.

18 (b) Is for eligible property in a municipality that was
19 subject to a state of emergency under the emergency management act,
20 1976 PA 390, MCL 30.401 to 30.421, issued for drinking water
21 contamination.

22 (c) Is for eligible property that is a historic resource if
23 the Michigan strategic fund determines the redevelopment is not
24 economically feasible absent the transformational brownfield plan.

25 (d) Is for eligible property that is located in a city,
26 village, or township with a population of less than 25,000 or that
27 is otherwise eligible for the corresponding population tier in
28 section 2(hhh)(vi), as determined in accordance with subsection
29 (15), if the Michigan strategic fund determines that the



1 redevelopment is not economically feasible absent the
2 transformational brownfield plan.

3 (10) In determining whether a plan under subsection (9) has a
4 transformational impact for purposes of section 2(hhh) and
5 subsection (3)(a), the governing body and Michigan strategic fund
6 shall consider the impact of the transformational brownfield plan
7 in relation to existing investment and development conditions in
8 the project area and whether the transformational brownfield plan
9 will act as a catalyst for additional revitalization of the area in
10 which it is located.

11 (11) The Michigan strategic fund may not approve more than 5
12 transformational brownfield plans under subsection (9) in a
13 calendar year, except that if the Michigan strategic fund approves
14 fewer than 5 plans in a calendar year under subsection (9), the
15 unused approval authority carries forward into future calendar
16 years and remains available until December 31, ~~2027~~. **2032**. The
17 Michigan strategic fund also shall not approve more than 5
18 transformational brownfield plans under subsection (9) in any
19 individual city, village, or township before December 31, 2022.

20 (12) Except as otherwise provided in this subsection,
21 amendments to an approved transformational brownfield plan must be
22 submitted by the authority to the governing body and to the
23 Michigan strategic fund for approval or rejection following the
24 same notice necessary for approval or rejection of the original
25 transformational brownfield plan. Notice is not required for
26 revisions in the estimates of tax increment revenues, construction
27 period tax capture revenues, withholding tax capture revenues,
28 income tax capture revenues, or sales and use tax capture revenues.

29 (13) Except as provided in this subsection, an amendment to an

1 approved transformational brownfield plan under section 13c(1) is
2 not considered a new plan approval subject to the limitation in
3 subsection (22)(a). The Michigan strategic fund may consider an
4 amendment as a new plan approval only if the amendment adds
5 eligible property and the Michigan strategic fund determines that
6 approving the addition as an amendment would be inconsistent with
7 the purposes of this act.

8 (14) The procedure, adequacy of notice, and findings under
9 this section are presumptively valid unless contested in a court of
10 competent jurisdiction within 60 days after approval of the
11 transformational brownfield plan by the Michigan strategic fund. An
12 approved amendment to a conclusive transformational brownfield plan
13 is likewise conclusive unless contested within 60 days after
14 approval of the amendment by the Michigan strategic fund. If a
15 resolution adopting an amendment to the transformational brownfield
16 plan is contested, the original resolution adopting the
17 transformational brownfield plan is not open to contest.

18 (15) The determination as to whether a transformational
19 brownfield plan complies with the minimum investment requirements
20 in section 2(hhh) must be made with reference to the most recent
21 decennial census data available at the time of approval by the
22 authority. A plan in a municipality that exceeds a population tier
23 under section 2(hhh) by not more than 10% of the maximum population
24 for that tier is, on election of the authority, subject to the
25 investment requirement for that tier. A transformational brownfield
26 plan that is expected to result in, or does result in, a total
27 capital investment that is within 10% of the applicable minimum
28 investment requirement is considered to satisfy the applicable
29 requirement under section 2(hhh).



(16) For purposes of a transformational brownfield plan, determination as to whether property is functionally obsolete may include considerations of economic obsolescence as determined in accordance with the Michigan state tax commission's assessor's manual.

(17) Any positive or negative determination by the Michigan strategic fund under this section must be supported by objective analysis and documented in the record of its proceedings.

(18) The Michigan strategic fund shall charge and collect a reasonable application fee as necessary to cover the costs associated with the review and approval of a transformational brownfield plan.

(19) ~~The~~ **Except as otherwise provided in this subsection, the** Michigan strategic fund shall not commit, and the department of treasury shall not disburse, more than \$80,000,000.00 in total annual tax capture. As used in this subsection, "total annual tax capture" means the total annual amount of income tax capture revenues, withholding tax capture revenues, and sales and use tax capture revenues that may be reimbursed each calendar year under all transformational brownfield plans. In addition to the \$80,000,000.00 annual limit, ~~both~~ **all** of the following provisions apply:

(a) The Michigan strategic fund may commit, and the department of treasury may disburse, an additional \$80,000,000.00 in total annual tax capture if the additional amount is used for new transformational brownfield plans and not existing transformational brownfield plans. As used in this subdivision and subdivision (b):

(i) "Existing transformational brownfield plan" means a transformational brownfield plan that is approved before the



1 effective date of the amendatory act that added section 16a,
 2 regardless of whether that transformational brownfield plan is
 3 amended after the effective date of the amendatory act that added
 4 section 16a and regardless of whether an amendment to that
 5 transformational brownfield plan is considered a new plan approval
 6 by the Michigan strategic fund under section 14a(13).

7 (ii) "New transformational brownfield plan" means a
 8 transformational brownfield plan that is approved on or after the
 9 effective date of the amendatory act that added section 16a.

10 (b) ~~(a)~~ With respect to the availability of uncommitted
 11 amounts, if an amount authorized to be committed for a calendar
 12 year has not been committed, the uncommitted amount for that
 13 calendar year remains available to be committed and disbursed in a
 14 subsequent calendar year and is in addition to the annual limits
 15 otherwise applicable. **An amount that, as a result of a remedial**
 16 **action under subsection (8), is not disbursed or is repaid is**
 17 **considered an uncommitted amount for purposes of this subdivision.**
 18 However, not more than \$30,000,000.00 may be committed or disbursed
 19 in any calendar year above the ~~\$80,000,000.00~~ **\$160,000,000.00 total**
 20 annual limit as a result of the operation of this subdivision, and
 21 all commitments and disbursements under this subdivision remain
 22 subject to the overall limitation in subsection (20). **An**
 23 **uncommitted amount described in this subdivision may be used for**
 24 **existing transformational brownfield plans or new transformational**
 25 **brownfield plans, as determined by the Michigan strategic fund,**
 26 **regardless of whether the uncommitted amount is attributable to the**
 27 **additional amount described in subdivision (a).**

28 (c) ~~(b)~~ With respect to the availability of committed but
 29 undisbursed amounts, if an amount has been committed under an



1 approved transformational brownfield plan for a calendar year but
 2 has not been disbursed, the undisbursed amount for that year is
 3 available to be disbursed in a subsequent calendar year and is in
 4 addition to the annual limit otherwise applicable.

5 (20) The Michigan strategic fund shall not commit, and the
 6 department of treasury shall not disburse, a total amount of income
 7 tax capture revenues, withholding tax capture revenues, and sales
 8 and use tax capture revenues that exceeds
 9 ~~\$1,600,000,000.00.~~ **\$3,200,000,000.00.**

10 (21) The Michigan strategic fund shall not approve more than a
 11 total of \$200,000,000.00 in construction period tax capture
 12 revenues **and projected sales and use tax exemptions under section**
 13 **4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and**
 14 **section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd. However,**
 15 **sales and use tax exemptions approved before the effective date of**
 16 **the amendatory act that added section 16a do not have to be**
 17 **included in determining whether the \$200,000,000.00 limit is met.**
 18 The Michigan strategic fund shall project the value of the sales
 19 and use tax exemptions under each transformational brownfield plan
 20 at the time of plan approval and shall require such information
 21 from the owner or developer as is necessary to perform this
 22 calculation. The Michigan strategic fund also shall require the
 23 owner or developer of the eligible property to report the actual
 24 value of the sales and use tax exemptions each tax year of the
 25 construction period and at the end of the construction period. **If**
 26 **the value of the actual sales and use tax exemptions and**
 27 **construction period tax capture revenues under all transformational**
 28 **brownfield plans exceeds the limit of \$200,000,000.00 under this**
 29 **subsection by more than a de minimis amount, as determined by the**



1 state treasurer, the state treasurer shall take corrective action
 2 and may reduce future disbursements to achieve compliance with this
 3 subsection. The corrective action described in this subsection
 4 shall not reduce the disbursement for an individual plan by an
 5 amount that is more than the amount by which the value of the sales
 6 and use tax exemptions for that plan exceeded the amount projected
 7 at the time of plan approval and included in the plan. The state
 8 treasurer shall not reduce the disbursement for an individual plan
 9 whose sales and use tax exemptions do not have to be included in
 10 determining whether the \$200,000,000.00 limit is met. The Michigan
 11 strategic fund and the department of treasury shall prescribe
 12 specific methods for implementing this subsection and subsection
 13 (25) not later than 120 days after the effective date of the
 14 amendatory act that added section 16a.

15 (22) The Michigan strategic fund shall comply with all of the
 16 following:

17 (a) Not approve more than 5 transformational brownfield plans
 18 in a calendar year, except that if the Michigan strategic fund
 19 approves fewer than 5 plans in a calendar year, the unused approval
 20 authority carries forward into future calendar years and remains
 21 available. ~~until December 31, 2027.~~

22 (b) Not approve more than 5 transformational brownfield plans
 23 in any individual city, village, or township before December 31,
 24 2022.

25 (c) ~~Ensure an equitable geographic distribution of plans~~
 26 ~~approved under this subsection, which must achieve a balance~~
 27 ~~between the needs of municipalities of differing sizes and~~
 28 ~~differing geographic areas of the state. Subject to the receipt of~~
 29 qualified transformational brownfield plans meeting the criteria



under this section and section 13c, ~~the Michigan strategic fund shall ensure that both of the following requirements are met:~~ **transformational brownfield plans approved under this act are distributed equally, to the extent practicable, between all of the following:**

(i) ~~Not less than 33% and not more than 38% of the total transformational brownfield plans approved under this act before December 31, 2027 will be located in cities,~~ **Cities**, villages, and townships with a population of less than 100,000.

(ii) ~~Not less than 33% and not more than 38% of the total transformational brownfield plans approved under this act before December 31, 2027 will be located in cities,~~ **Cities**, villages, and townships with a population of not less than 100,000 and not more than 225,000.

(iii) **Cities, villages, and townships with a population of more than 225,000.**

(d) In coordination with the governing body, shall determine the appropriate provisions regarding affordable housing on a plan-by-plan basis. **A transformational brownfield plan for a project that includes the development of residential housing on the eligible property must not be approved after the effective date of the amendatory act that added section 16a unless it includes an affordable housing component. As used in this subdivision, "affordable housing" means residential housing units that are rented or sold to income qualified households.**

(23) In the event of a proposed change in ownership of eligible property subject to a transformational brownfield plan for which reimbursement will continue, the approval of the Michigan strategic fund is required before the assignment or transfer of the



1 development and reimbursement agreement.

2 (24) If the Michigan strategic fund approves a
3 transformational brownfield plan and work plan, and subsequent to
4 that approval, amendments are made to this act, the Michigan
5 strategic fund may amend those plans to make conforming and
6 consistent changes to the approved transformational brownfield plan
7 and work plan on an administrative basis, if those changes do not
8 result in any increase in the aggregate total amount of
9 reimbursement authorized under the initial transformational
10 brownfield plan. The authority of the Michigan strategic fund to
11 administratively amend transformational brownfield plans and work
12 plans under this subsection also applies to transformational
13 brownfield plans and work plans entered into before December 27,
14 2021.

15 ~~(25) The Michigan strategic fund shall not approve any new~~
16 ~~transformational brownfield plans after December 31, 2027. A~~
17 ~~transformational brownfield plan approved before December 31, 2022~~
18 ~~remains in effect and may be amended in accordance with this act.~~

19 **(25) For transformational brownfield plans approved on or**
20 **after the effective date of the amendatory act that added section**
21 **16a, the Michigan strategic fund shall not approve more than**
22 **\$300,000,000.00 in total construction period tax capture revenues,**
23 **income tax capture revenues, sales and use tax capture revenues,**
24 **withholding tax capture revenues, and projected sales and use tax**
25 **exemptions under section 4d(n) of the general sales tax act, 1933**
26 **PA 167, MCL 205.54d, and section 4dd of the use tax act, 1937 PA**
27 **94, MCL 205.94dd, for a single transformational brownfield plan. If**
28 **the value of the actual sales and use tax exemptions, construction**
29 **period tax capture revenues, income tax capture revenues, sales and**



1 use tax capture revenues, and withholding tax capture revenues for
2 a transformational brownfield plan approved on or after the
3 effective date of the amendatory act that added section 16a exceeds
4 the limit of \$300,000,000.00 under this subsection by more than a
5 de minimis amount, as determined by the state treasurer, the state
6 treasurer shall take corrective action and may reduce future
7 disbursements or require repayment of past disbursements, to
8 achieve compliance with the aggregate limitation under this
9 subsection.

10 (26) On approval by the Michigan strategic fund, the mixed-use
11 requirement in section 2(hhh) may be waived for a brownfield plan
12 that otherwise meets the location, population, and minimum
13 investment requirement under section 2(hhh) (vi).

14 Sec. 16. (1) The municipal and county treasurers shall
15 transmit tax increment revenues to the authority not ~~more~~-later
16 than 30 days after tax increment revenues are collected.

17 (2) The authority shall expend the tax increment revenues
18 received only in accordance with the brownfield plan. All surplus
19 funds not deposited in the local brownfield revolving fund of the
20 authority under section 8 must revert proportionately to the
21 respective taxing bodies, except as provided in section 15(16).

22 (3) The authority shall submit annually to the governing body,
23 the department, the Michigan state housing development authority,
24 and the Michigan strategic fund a financial report on the status of
25 the activities of the authority for each calendar year. The report
26 must include all of the following:

27 (a) The total amount of local taxes that are approved for
28 capture and the total amount of taxes levied for school operating
29 purposes that are approved for capture for each parcel included in



1 a brownfield plan.

2 (b) The amount and purpose of expenditures of tax increment
3 revenues.

4 (c) The amount and source of tax increment revenues received
5 for each active brownfield plan **that is not a transformational**
6 **brownfield plan**, including the amount of tax increment revenues
7 captured in the most recent tax year and the cumulative amount of
8 tax increment revenues captured for each brownfield plan **that is**
9 **not a transformational brownfield plan, and the amount and source**
10 **of tax increment revenues, construction period tax capture**
11 **revenues, withholding tax capture revenues, income tax capture**
12 **revenues, and sales and use tax capture revenues received for each**
13 **active brownfield plan that is a transformational brownfield plan,**
14 **including the amount of tax increment revenues, construction period**
15 **tax capture revenues, withholding tax capture revenues, income tax**
16 **capture revenues, and sales and use tax capture revenues captured**
17 **in the most recent tax year and the cumulative amount of tax**
18 **increment revenues, construction period tax capture revenues,**
19 **withholding tax capture revenues, income tax capture revenues, and**
20 **sales and use tax capture revenues captured for each brownfield**
21 **plan that is a transformational brownfield plan.**

22 (d) The initial taxable value of all eligible property subject
23 to the brownfield plan.

24 (e) The captured taxable value realized by the authority for
25 each eligible property subject to the brownfield plan.

26 (f) The amount of actual capital investment made for each
27 project.

28 (g) The amount of tax increment revenues attributable to taxes
29 levied for school operating purposes used for activities described



1 in section 13b(6)(c), section 2(o)(i)(F) and (G), and section
2 2(o)(iii)(B) and (C).

3 (h) The number of residential units constructed or
4 rehabilitated for each project.

5 (i) The amount, by square foot, of new or rehabilitated
6 residential, retail, commercial, or industrial space for each
7 project.

8 (j) The number of new jobs created at the project.

9 (k) A copy of all brownfield plan amendments approved by the
10 local governmental unit.

11 (l) All additional information that the governing body, the
12 department, or the Michigan strategic fund considers necessary.

13 ~~(4) The department, the Michigan state housing development~~
14 ~~authority, and the Michigan strategic fund shall collect the~~
15 ~~financial reports submitted under subsection (3), compile a~~
16 ~~combined report that includes the use of local taxes, taxes levied~~
17 ~~for school operating purposes, and the state brownfield~~
18 ~~redevelopment fund, based on the information contained in those~~
19 ~~reports and any additional information considered necessary, and~~
20 ~~submit annually a report based on that information to each member~~
21 ~~of the legislature.~~ **Not later than April 1, 2027, the Michigan**
22 **strategic fund shall create a searchable dataset of all work plans**
23 **approved under this act. The Michigan strategic fund shall compile**
24 **the information on work plans approved by the Michigan strategic**
25 **fund, the department, the department of treasury, and the Michigan**
26 **state housing development authority into the dataset. The dataset**
27 **must be available to the public on the website of the Michigan**
28 **strategic fund or the Michigan economic development corporation. At**
29 **a minimum, the dataset must be searchable by location, project**



1 name, and the name of the owner or developer of the project. The
 2 Michigan strategic fund does not have to include information
 3 regarding work plans that expire, or are abolished or terminated,
 4 before April 1, 2027, in the dataset. However, information
 5 regarding work plans that expire, or are abolished or terminated,
 6 on or after April 1, 2027 must be retained in the dataset. The
 7 department, the department of treasury, and the Michigan state
 8 housing development authority shall cooperate with the Michigan
 9 strategic fund as necessary for the creation and maintenance of the
 10 dataset under this subsection and are responsible for confirming
 11 their own data for the dataset created under this subsection.

12 (5) ~~Beginning on January 1, 2013, The Michigan strategic fund~~
 13 **shall, on a quarterly basis, update the dataset described in**
 14 **subsection (4) with all of the following** ~~reporting obligations~~
 15 ~~apply:~~**information:**

16 (a) ~~The department shall on a quarterly basis post on its~~
 17 ~~website the name, location, and amount of tax increment revenues,~~
 18 including taxes levied for school operating purposes, for each
 19 project approved by the department under this act during the
 20 immediately preceding quarter, **which information must be provided**
 21 **by the department to the Michigan strategic fund.**

22 (b) ~~The Michigan strategic fund shall on a quarterly basis~~
 23 ~~post on its website the name, location, and amount of tax increment~~
 24 revenues, including taxes levied for school operating purposes, for
 25 each project approved by the Michigan strategic fund under this act
 26 during the immediately preceding quarter.

27 (c) ~~The Michigan state housing development authority shall on~~
 28 ~~a quarterly basis post on its website the name, location, and~~
 29 amount of tax increment revenues, including taxes levied for school



1 operating purposes, for each project approved by the Michigan state
2 housing development authority under this act during the immediately
3 preceding quarter, **which information must be provided by the**
4 **Michigan state housing development authority to the Michigan**
5 **strategic fund.**

6 (6) In addition to any other requirements under this act, not
7 less than once every ~~3-4~~ years, ~~beginning not later than June 30,~~
8 ~~2008,~~ the auditor general shall conduct and report a performance
9 postaudit on the effectiveness of the program established under
10 this act. As part of the performance postaudit, the auditor general
11 shall assess the extent to which the implementation of the program
12 by the department, the Michigan state housing development
13 authority, and the Michigan strategic fund facilitate and affect
14 the redevelopment or reuse of eligible property and identify any
15 factors that inhibit the program's effectiveness. The performance
16 postaudit must also assess the extent to which the interpretation
17 of statutory language, the development of guidance or
18 administrative rules, and the implementation of the program by the
19 department, the Michigan state housing development authority, and
20 the Michigan strategic fund is consistent with the fundamental
21 objective of facilitating and supporting timely and efficient
22 brownfield redevelopment of eligible properties. **If the performance**
23 **postaudit indicates that transformational brownfield plans under**
24 **the program are not resulting in the expected levels of capital**
25 **investment, the Michigan strategic fund must review the**
26 **transformational brownfield plans and determine whether an action**
27 **described in section 14a(8) should be taken.**

28 (7) The owner or developer for an active project included
29 within a brownfield plan must annually submit to the authority a



1 report on the status of the project. The report must be in a form
2 developed by the authority and must contain information necessary
3 for the authority to report under subsection (3)(f), (h), (i), (j),
4 and (k). The authority may waive the requirement to submit a report
5 under this subsection. As used in this subsection, "active project"
6 means a project for which the authority is currently capturing
7 taxes under this act.

8 (8) For a transformational brownfield plan, all of the
9 following also apply:

10 (a) The state treasurer shall transfer to the state brownfield
11 redevelopment fund each fiscal year an amount equal to the
12 construction period tax capture revenues, withholding tax capture
13 revenues, income tax capture revenues, and sales and use tax
14 capture revenues under all approved plans as provided for in
15 section 8a(4). Funds must be transmitted to the authority, or owner
16 or developer of the eligible property to which the revenues are
17 attributable, not later than 30 days after transfer to the state
18 brownfield redevelopment fund.

19 (b) The authority, the department, **the department of treasury,**
20 **the Michigan state housing development authority,** and the Michigan
21 strategic fund shall follow the reporting **and dataset** requirements
22 of subsections (3), (4), and (5), **as applicable to each entity,**
23 with respect to all approved transformational brownfield plans, and
24 shall provide information on the amount and use of construction
25 period tax capture revenues, withholding tax capture revenues,
26 income tax capture revenues, and sales and use tax capture revenues
27 to the same extent required for tax increment revenues.

28 (c) The owner or developer of active projects included within
29 a transformational brownfield plan shall provide the information



1 required for the authority, the department, **the department of**
 2 **treasury, the Michigan state housing development authority,** and the
 3 Michigan strategic fund to satisfy the reporting, **dataset,** and
 4 audit requirements of this section.

5 (9) If activities of the authority include housing development
 6 activities, the report under subsection (3) must also include all
 7 of the following:

8 (a) The number of housing units produced.

9 (b) The number of income qualified purchaser households
 10 served.

11 (c) The number of income qualified renting households
 12 assisted.

13 (d) For the initial reporting period, the prices at which the
 14 housing units were sold or rented.

15 (e) Racial and socioeconomic data on the individuals
 16 purchasing or renting the housing units, or, if this data is not
 17 available, racial and socioeconomic data on the census tract in
 18 which the housing units are located.

19 (10) As used in this section, "Michigan economic development
 20 corporation" means that term as defined in section 4 of the
 21 Michigan strategic fund act, 1984 PA 270, MCL 125.2004.

22 Sec. 16a. (1) In addition to any other requirements under this
 23 act, a dedicated webpage for the transformational brownfield
 24 program must be made available to the public on the website of the
 25 Michigan strategic fund or the Michigan economic development
 26 corporation.

27 (2) The transformational brownfield program webpage must
 28 include all of the following information:

29 (a) Notice of a meeting of the Michigan strategic fund board



1 that will occur on or after the effective date of the amendatory
2 act that added this section and that will consider approval of a
3 transformational brownfield plan or an amendment to a
4 transformational brownfield plan.

5 (b) For each meeting described in subdivision (a), all of the
6 following information, as applicable, which must be made available
7 before the meeting occurs:

8 (i) Documents, reports, and other information distributed in
9 the board packet to the members of the Michigan strategic fund
10 board related to the approval of the transformational brownfield
11 plan or an amendment to the transformational brownfield plan.

12 (ii) If the approval is for an amendment to a transformational
13 brownfield plan, a summary of the amendment and the date of the
14 amendment.

15 (c) Any other documents prepared or received by the Michigan
16 strategic fund board in connection with the approval of
17 transformational brownfield plans or amendments to transformational
18 brownfield plans on or after the effective date of the amendatory
19 act that added this section, including, but not limited to, all of
20 the following:

21 (i) The financial and underwriting analysis conducted under
22 section 14a(5).

23 (ii) Independent, third-party analyses received under section
24 14a(6).

25 (iii) Any other economic and fiscal impact analyses prepared or
26 received by the Michigan strategic fund board.

27 (d) Audit reports prepared or received by the Michigan
28 strategic fund with respect to transformational brownfield plans,
29 including but not limited to the postaudit report described in



1 section 16(6).

2 (e) Recordings of meetings under section 16b.

3 (f) For each project under a transformational brownfield plan
4 approved on or after the effective date of the amendatory act that
5 added this section, a list of the annual project milestones that
6 must be met and the status of each milestone. If the deadline for a
7 milestone has passed, the status must include whether the milestone
8 was met, not met, or adjusted. The information described in this
9 subdivision must be updated not less than annually.

10 (g) For each calendar year that ends on or after the effective
11 date of the amendatory act that added this section, a list of each
12 project under a transformational brownfield plan that received
13 transformational brownfield sales and use tax exemptions or state
14 tax revenues and, for each project listed, the total capital
15 investment in the project as of the last day of the calendar year,
16 the amount of transformational brownfield sales and use tax
17 exemptions received during the calendar year, and the amount of
18 state tax revenues received during the calendar year, broken down
19 by construction period tax capture revenues, income tax capture
20 revenues, sales and use tax capture revenues, and withholding tax
21 capture revenues. Information under this subdivision for a calendar
22 year must be posted on the webpage by the April 1 immediately
23 following the end of the calendar year.

24 (h) For each calendar year that ends on or after the effective
25 date of the amendatory act that added this section, all of the
26 following information regarding the limit on the commitment or
27 disbursement of total annual tax capture under section 14a(19), the
28 information must be updated on a rolling basis, but not less than
29 quarterly:



1 (i) The amount of the limit on the commitment and disbursement
2 of total annual tax capture under section 14a(19), broken down as
3 described in section 14a(19).

4 (ii) The amounts that have been committed and disbursed to
5 date, broken down as described in section 14a(19) and further
6 broken down by income tax capture revenues, sales and use tax
7 capture revenues, and withholding tax capture revenues.

8 (iii) The remaining amount available for commitment or
9 disbursement under section 14a(19).

10 (i) All of the following information regarding the limit on
11 the total amount of income tax capture revenues, withholding tax
12 capture revenues, and sales and use tax capture revenues that may
13 be committed or disbursed under section 14a(20), the information
14 must be updated on a rolling basis, but not less than quarterly:

15 (i) The amount of the limit on the total amount of income tax
16 capture revenues, withholding tax capture revenues, and sales and
17 use tax capture revenues that may be committed or disbursed under
18 section 14a(20).

19 (ii) The total amount of income tax capture revenues,
20 withholding tax capture revenues, and sales and use tax capture
21 revenues that have been committed or disbursed to date, broken down
22 by income tax capture revenues, withholding tax capture revenues,
23 and sales and use tax capture revenues.

24 (iii) The remaining amount available to be committed or
25 disbursed under section 14a(20).

26 (j) All of the following information regarding the limit on
27 the approval of construction period tax capture revenues and
28 transformational brownfield sales and use tax exemptions under
29 section 14a(21), which information must be updated on a rolling



1 basis, but not less than quarterly:

2 (i) The amount of the limit on construction period tax capture
3 revenues and transformational brownfield sales and use tax
4 exemptions under section 14a(21) .

5 (ii) The total amount of construction period tax capture
6 revenues and, unless excluded in determining whether the limit has
7 been met under section 14a(21) , transformational brownfield sales
8 and use tax exemptions that have been approved to date, broken down
9 by construction period tax capture revenues and transformational
10 brownfield sales and use tax exemptions.

11 (iii) The remaining amount available for approval under section
12 14a(21) .

13 (k) A record of the total amount of tax revenues that have
14 been paid each year under the transformational brownfield program
15 since the enactment of the program, broken down by project name and
16 further broken down by construction period tax capture revenues,
17 income tax capture revenues, sales and use tax capture revenues,
18 tax increment revenues, and withholding tax capture revenues. Tax
19 increment revenues must be further broken down by local taxes and
20 taxes levied for school operating purposes. The department of
21 treasury shall cooperate with the Michigan strategic fund as
22 necessary to make the information required under this subsection
23 available on the transformational brownfield program webpage.

24 (l) A projected schedule of annual distributions of tax
25 revenues in future years, broken down by construction period tax
26 capture revenues, income tax capture revenues, sales and use tax
27 capture revenues, tax increment revenues, and withholding tax
28 capture revenues. Tax increment revenues must be further broken
29 down by local taxes and taxes levied for school operating purposes.



1 (m) A record of the total amount of transformational
2 brownfield sales and use tax exemptions that have been paid each
3 year under the transformational brownfield program since the
4 enactment of the program, broken down by project name.

5 (n) A projected schedule of annual transformational brownfield
6 sales and use tax exemptions that will be provided in future years.

7 (o) A list of each transformational brownfield plan approved
8 under the transformational brownfield program since the enactment
9 of the program and, for each plan listed, all of the following
10 information, which information must be updated on a rolling basis,
11 but not less than annually:

12 (i) Subject to section 14a(15), the minimum amount of capital
13 investment required under section 2(hhh).

14 (ii) The actual level of capital investment.

15 (iii) The amount of the significant equity contribution from the
16 owner or developer described in section 14a(5).

17 (3) For purposes of this section, a document is considered
18 prepared or received by the Michigan strategic fund if the document
19 is prepared or received by the Michigan strategic fund or an
20 authorized officer, employee, or agent of the Michigan strategic
21 fund, including the Michigan economic development corporation or an
22 employee of the Michigan economic development corporation.

23 (4) As used in this section:

24 (a) "Michigan economic development corporation" means that
25 term as defined in section 4 of the Michigan strategic fund act,
26 1984 PA 270, MCL 125.2004.

27 (b) "Michigan strategic fund board" means the board of
28 directors of the Michigan strategic fund under section 5 of the
29 Michigan strategic fund act, 1984 PA 270, MCL 125.2005.



1 (c) "State tax revenues" means construction period tax capture
2 revenues, income tax capture revenues, sales and use tax capture
3 revenues, and withholding tax capture revenues.

4 (d) "Tax revenues" means state tax revenues and tax increment
5 revenues.

6 (e) "Total annual tax capture" means that term as defined in
7 section 14a(19).

8 (f) "Transformational brownfield program" means the program
9 under this act pursuant to which transformational brownfield plans
10 may be approved and implemented.

11 (g) "Transformational brownfield program webpage" means the
12 webpage for the transformational brownfield program required under
13 subsection (1).

14 (h) "Transformational brownfield sales and use tax exemptions"
15 means the sales and use tax exemptions under section 4d(n) of the
16 general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of
17 the use tax act, 1937 PA 94, MCL 205.94dd.

18 Sec. 16b. (1) A meeting of the Michigan strategic fund board
19 that will consider approval of a transformational brownfield plan
20 or an amendment to a transformational brownfield plan must be
21 livestreamed and recorded.

22 (2) As used in this section, "Michigan strategic fund board"
23 means the board of directors of the Michigan strategic fund under
24 section 5 of the Michigan strategic fund act, 1984 PA 270, MCL
25 125.2005.

